Sl. No. 4

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI SPECIAL BENCH
(Virtual Hearing)

PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 10.01.2024 AT 10:15 A.M.

TC/CP. Nos.	CA/IA No.	Section / Rule	Name of Parties
CA(CAA)/8/230/AMR/2023		230	M/s Ammaji Estates Private Limited (Transferor Co-1) M/s Anumolu Estates Private Limited (Transferor Co-2) M/s Avnash Developers Private Limited (Transferor Co-3) M/s Maitri Townships Private Limited (Transferor Co-4) M/s Rayudu Estates Private Limited (Transferor Co-5) M/s ATR Estates Private Limited (Transferee Co)

ORDER

Mr.S.S.Sarat Chandra, Ld. Counsel for the Applicant companies present. Orders pronounced. CA(CAA)/8/230/AMR/2023 is allowed, vide separate sheets.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu (PS)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI SPECIAL BENCH

CA (CAA)/8/230/AMR/2023

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation Between M/s. Ammaji Estates Private Limited (1st Transferor Company), M/s.Anumolu Estates Private Limited (2nd Transferor Company), M/s.Avnash Developers Private Limited (3rd Transferor Company), M/s. Maitri Townships Private Limited (4th Transferor Company), M/s. Rayudu Estates Private Limited (5th Transferor Company) and M/s. ATR Estates Private Limited (Transferee Company) and their Respective Shareholders.

1. M/s. Ammaji Estates Private Limited
(CIN: U70102TG2003PTC040286)
11-8-34, Daspalla Hills,
Visakhapatnam-530003,
Andhra Pradesh, India

...1st Applicant /1st Transferor Company

2. M/s. Anumolu Estates Private Limited
(CIN: U70102AP2003PTC040291)
11-8-34, Daspalla Hills,
Visakhapatnam-530003,
Andhra Pradesh, India

...2nd Applicant /2nd Transferor Company

3. M/s. Avnash Developers Private Limited
(CIN: U70102TG2003PTC040287)
11-8-34, Daspalla Hills, Visakhapatnam
530003, Andhra Pradesh, India
...3rd Applicant /3rd Transferor Company

4. M/s. Maitri Townships Private Limited
(CIN: U70102TG2003PTC040289)
11-8-34, Daspalla Hills, Visakhapatnam
530003, Andhra Pradesh, India
... 4th Applicant/4th Transferor Company

5. M/s. Rayudu Estates Private Limited
(CIN: U70102TG2003PTC040288)
11-8-34, Daspalla Hills, Visakhapatnam
530003, Andhra Pradesh, India
... 5th Applicant/5th Transferor Company

6. M/s. ATR Estates Private Limited
(CIN: U70102TG2003PTC040290)
11-8-34, Daspalla Hills, Visakhapatnam
530003, Andhra Pradesh, India
...6th Applicant /Transferee Company

Orders pronounced on: 10.01.2024

Coram:

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

For the Applicant Companies : Mr.S.S.Sarat Chandra, Advocate

ORDER
(Per: Bench)

1. The present Application has been filed jointly by all the Transferor Companies and the Transferee Company under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 seeking an order to

dispense with the holding of the meeting of the Shareholders, Secured creditors and unsecured creditors of all the Transferor and Transferee Companies, in view of the consents given by them, for sanction of the proposed scheme of Amalgamation and considering the sound financials and solvency of the merged entity as also for the facts and circumstances as sated and also to dispense with the publication of notice in newspapers, since there is no public interest involved.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

   a) M/s. Ammaji Estates Private Limited, 1st Applicant/ 1st Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 13.01.2003 and Authorized share capital of the 1st Transferor Company is Rs.5,00,000/- divided into 50,000 Equity shares of Rs. 10/- each and issued, subscribed and paid-up capital is Rs.1,00,000/- divided into 10,000 fully paid-up equity shares of Rs.10/- each.

   b) M/s.Anumolu Estates Private Limited, 2nd Applicant/2nd Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 13.01.2003 and Authorized share capital of the 2nd Transferor Company is Rs.5,00,000/- divided into 50,000 Equity

shares of Rs. 10/- each and issued, subscribed and paid-up capital is Rs.1,00,000/- divided into 10,000 fully paid-up equity shares of Rs.10/- each.

c) M/s. Avnash Developers Private Limited, 3rd Applicant/3rd Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 13.01.2003 and Authorized share capital of the 3rd Transferor Company is Rs.5,00,000/- divided into 50,000 Equity shares of Rs. 10/- each and issued, subscribed and paid-up capital is Rs.1,00,000/- divided into 10,000 fully paid-up equity shares of Rs.10/- each.

d) M/s. Maitri Townships Private Limited, 4th Applicant/4th Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 13.01.2003 and Authorized share capital of the 4th Transferor Company is Rs.5,00,000/- divided into 50,000 Equity shares of Rs. 10/- each and issued, subscribed and paid-up capital is Rs. 1,00,000/- divided into 10,000 fully paid-up equity shares of Rs.10/- each.

e) M/s. Rayudu Estates Private Limited, 5th Applicant/5th Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 13.01.2003 and Authorized share capital of the 5th Transferor Company is Rs.5,00,000/- divided into 50,000 Equity shares of Rs. 10/- each and issued, subscribed and paid-up capital

is Rs.1,00,000/- divided into 10,000 fully paid-up equity shares of Rs.10/- each.

f) The main objects of all the Transferor Companies have the similar set of objectives which are to carry on all or any of the business of contractors, builders, developers, realtors, proprietors of flats, maisonettes, dwelling houses, shops, offices, agricultural and commercial land and clubs and for these purpose to purchase, take on lease or otherwise acquire and hold any lands or buildings of any tenure or description wherever situate, or rights or interests therein or connected therewith, to prepare building sites and to construct, reconstruct, pull down, alter, improve, decorate, furnish and maintain flats, maisonettes, dwellings houses, shops, offices, clubs, buildings, works, and convenience of all kinds. In addition to the above, subject to the provisions of the law of the state to carry on the business of hotels, restaurant café, beer house, tavern, clubs, sports centres, refreshment rooms and lodge house, Hotels, Holiday camps, and apartment house, and to further carry on the business of technical consultants and advisers for engineering, designing, drawing, estimating, preparing bill of material, bill of costs required for construction of all types of building and structures whether in town planning or otherwise, for the construction of multi storied buildings and complexes for residential, office purpose and markets, recreation facilities and all other problems and for that purpose have facilities for preparing drawings, plans, layouts, engineering, structural and otherwise and undertake the

construction of buildings and structures and other recreational centres, markets, shopping centres and to act as consultants of every type and description for construction of buildings structures.

g) M/s ATR Estates Private Limited, 6th Applicant/ Transferee Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 13.01.2003 and Authorized share capital of the Transferee Company is Rs.5,00,000/- divided into 50,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,000/- dived into 10,000 fully paid-up equity shares of Rs.10/- each. The main objects of the company are to carry on all or any of the business of contractors, builders, developers, realtors, proprietors of flats, maisonettes, dwelling house, shops, offices, agricultural and commercial land and clubs and for these purpose to purchase, take on lease or otherwise acquire and hold any lands or buildings of any tenure or description wherever situate, or rights or interests therein or connected therewith, to prepare building sites and to construct, reconstruct, pull down, alter, improve, decorate, furnish and maintain flats, maisonettes, dwellings houses, shops, offices, clubs, buildings, works, and convenience of all kinds. In addition to the above, subject to the provisions of the law of the state to carry on the business of hotels, restaurant café, beer house, tavern, clubs, sports centres, refreshment rooms and lodge house, Hotels, Holiday camps, and apartment house, and to further carry on the business of technical

consultants and advisers for engineering, designing, drawing, estimating, preparing bill of material, bill of costs required for construction of all types of building and structure whether in town planning or otherwise, for the construction of multi storied buildings and complexes for residential, office purpose and markets, recreation facilities and all other problems and for that purpose have facilities for preparing drawings, plans, layouts, engineering, structural and otherwise and undertake the construction of buildings and structures and other recreational centres, markets, shopping centres and to act as consultants of every type and description for construction of buildings, structures.

h) According to the Applicant Companies, the transferee and Transferor companies are closely are closely held private limited companies with their entire shareholding held by Anumolu Avnash and his mother Anumolu Ammaji without there being any public interest involved. Because of existing integration and similarity of the business of the Transferee and Transferor Companies, as well as the administrative, management and accounting difficulties in carrying on the business by the management and accounting of all the entities and the time constraints of the management on account of multiplicity of works and compliances, the management of the companies is unable to fully focus on the business and achieve optimum business and the merger is therefore for consideration of the business and the companies and the amalgamation of five

Transferor Companies with the Transferee Company would inter alia help in consolidation of the businesses of the companies and would be beneficial to all the companies and the management of the companies will be in a better position to focus their attention and energies and achieve good and improved results. That the proposed amalgamation would be in the interest of not only the shareholders of the companies, but also the creditors, customers and employees generally and that consolidation of the businesses of all the companies would result in a financially and operationally sound entity with better net-worth and valuation, which in turn, would attract investment by investors and further funding by the bankers for expansion.

4. The Board of Directors of all the Applicant/Transferor Companies and Transferee Company in their respective Board Meetings held on 01.07.2023 have unanimously approved the Scheme of Amalgamation between the Transferor Companies and Transferee Company with appointed date as 01.04.2023.

5. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

6. The Applicant companies has filed their Independent Auditor certificate dated 28.10.2023 confirming that the proposed accounting treatment in the books of the companies as specified in Clause 12 Accounting Treatment is in compliance with the accounting standards.

7. The 1st Applicant/1st Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

8. The 1st Applicant /1st Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Unsecured Creditors, having a debt of Rs.1,74,044/- and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

9. The 2nd Applicant/2nd Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

10. The 2nd Applicant/2nd Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Three (3) Unsecured Creditors, having a debt of Rs.1,93,923/- and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

11. The 3rd Applicant/3rd Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Equity shareholders, together

holding 10,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

12. The 3rd Applicant/3rd Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Three (3) Unsecured Creditors, having a debt of Rs.2,82,219/- and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

13. The 4th Applicant/4th Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

14. The 4th Applicant/4th Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Unsecured Creditors, having a debt of Rs.2,67,192/- and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

15. The 5th Applicant/5th Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

16. The 5th Applicant/5th Transferor company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Unsecured Creditors, having a debt of Rs.1,40,489/- and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

17. The 6th Applicant/Transferee company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

18. The 6th Applicant/Transferee company has filed certificate dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are Two (2) Unsecured Creditors, having a debt of Rs.1,95,956/- and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

19. The Applicant Companies has filed their certificates dated 16.10.2023 issued by the Independent Auditor of the Company stating that as on 31.07.2023 there are zero (0) Secured Creditors in all the Applicant Companies.

20. Heard the submissions made in this regard by Mr. S.S. Sarat Chandra, Advocate appearing for the Applicant Companies and perused the documents filed.

21. It is noted that all the shareholders of the Applicant Companies have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Shareholders of all the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

22. It is noted that all the Equity Shareholders & Unsecured Creditors of all the Transferor Companies and Transferor Company have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Equity Shareholders and Unsecured Creditors of Transferor Companies and Transferor Company can be dispensed with, in terms of Section 230(9) of the Act.

23. It is noted that there are no Secured Creditors in the Transferor Companies and Transferee Company, hence, the meeting of the Secured Creditors of the Transferor Companies and Transferee Company can be dispensed with, in terms of Section 230(9) of the Act.

24. It is noted that there is no public interest involved in the Applicant Companies, hence, the publication of notice in newspapers can be dispensed with.

25. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send notice under section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the

disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh' (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within period of 30(thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

26. In the event of the Applicant companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the scheme to put forth his/their contention(s) before the Tribunal.

ORDER

The Company Application i.e., CA(CAA)/8/230/AMR/2023 is allowed and disposed of accordingly.

Sd/- Dt.10.01.2024

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-Dt. 10.01.2024

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu (PS)